

Oracle EPM Predictive Cash Forecasting

Period-Based Methods - Advanced Lab Guide

Product Design Documentation • Implementation Guide • Training Material • Technical Reference • Troubleshooting Handbook

Purpose

This guide shows how to design and use Period-Based Methods in Oracle Predictive Cash Forecasting so that different forecast methods can be assigned to different portions of the rolling forecast horizon for the same line item and entity.

Design Point	Definition
Period-Based Methods	Use different forecast methods for different time frames of the rolling forecast.
Business value	Improves short-term precision and medium/long-term practicality in one design.
Typical structure	Preferred Method 1, Preferred Method 2, Preferred Method 3 with period end points.
Main users	Administrators configure defaults; Cash Managers review and adjust for their entities.
Output view	Forecast Methods by Periods plus Rolling Forecast and dashboard review.

BISP Trainings

1. Oracle Product Context

Official Oracle concept

Oracle states that Predictive Cash Forecasting supports various forecast methods for each cash line item and also supports period-based forecast methods, where you can use different forecast methods for different time frames. Oracle further explains that setting forecast methods by period range helps you pick the best method for short-term versus medium-term forecast horizons.

- Blend methods not only by line item and entity, but also by period range.
- Select default forecast methods to use for different time periods of the rolling forecast range.
- Use Forecast Methods by Periods to review values by method across periods.
- Make line-item adjustments directly in the Forecast Methods by Periods grid using the Adjustments row.
- Remember that line-item forecasts are calculated from the default method assignments after the Daily/Periodic Process rules are run.

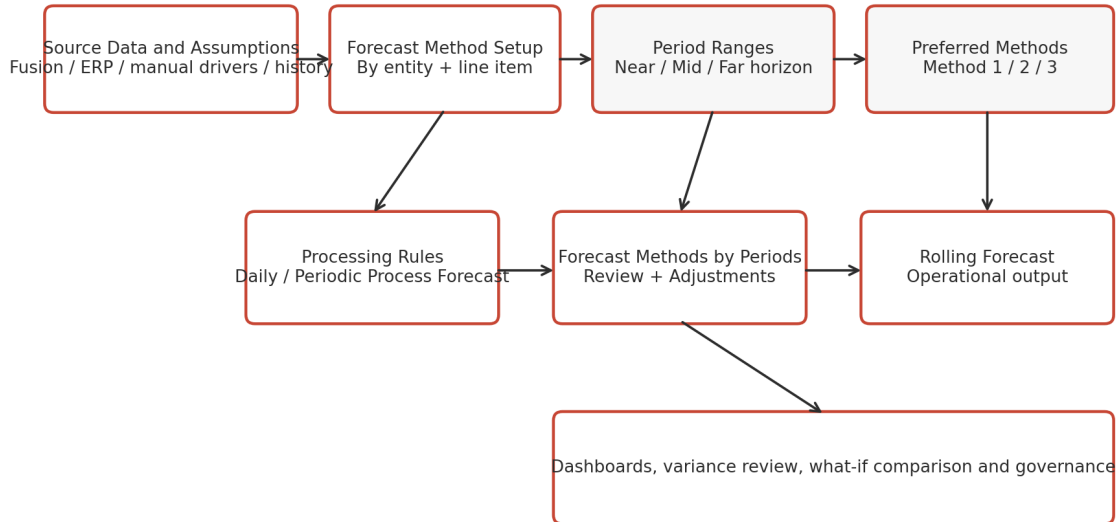
Oracle behavior	Implementation implication
Different method for different time frames	Near-term and far-term logic can coexist in a controlled way.
Administrator sets defaults	Baseline design is standardized before entity-level refinements.
Cash managers may change methods for their entity	Governance and audit trail are important.
Trend methods are periodic-only	Do not assign them to a daily-only range.
Adjustments can be entered directly in the review grid	The design should expect controlled manual intervention.

2. When to Use Period-Based Methods

- When near-term forecast visibility comes from invoices or transactions, but later periods require driver or trend logic.
- When forecast confidence declines with distance, making it useful to transition from detailed methods to generalized methods.
- When different business signals dominate at different horizons—for example, invoices today, DSO/DPO next month, and statistical trend for later months.
- When treasury wants a single line item to behave differently over the 13-week or 6-month rolling horizon without manual reconfiguration every cycle.
- When scenario planning requires separate mid-range and far-range logic under one published cash forecast.

3. Period-Based Methods Reference Architecture

Period-Based Methods Reference Architecture

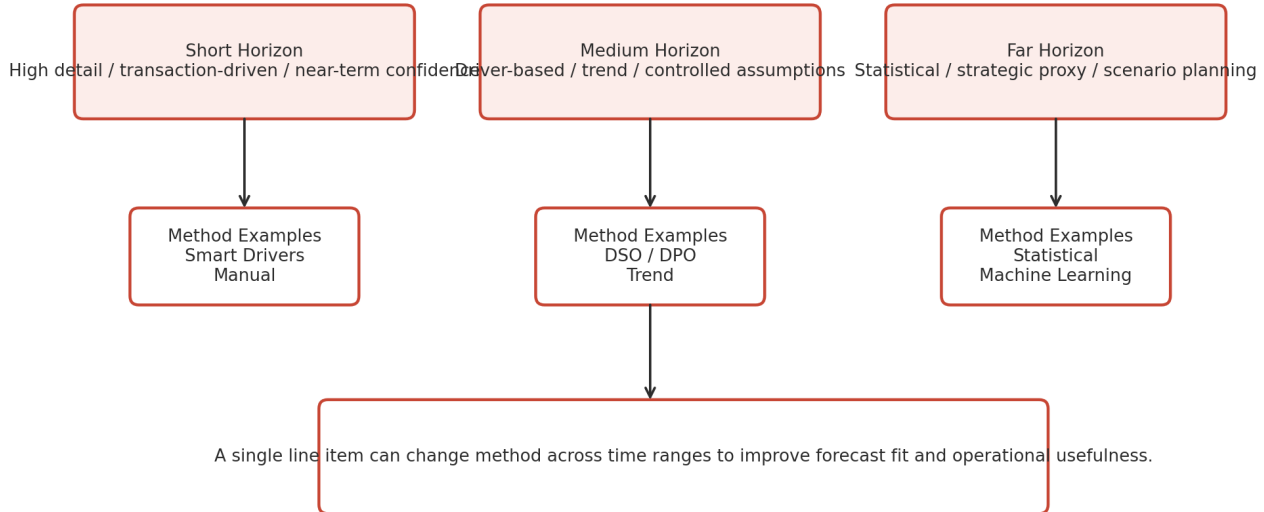


Oracle PCF supports blending forecast methods by line item, entity, and period range.

The architecture combines source data, method setup by line item and entity, and explicit period ranges to control which forecast logic applies to which portion of the horizon. The result is a single Rolling Forecast fed by multiple forecast methods in a controlled sequence.

4. SmartArt View - Horizon Logic

SmartArt - Short, Medium and Long Horizon Design

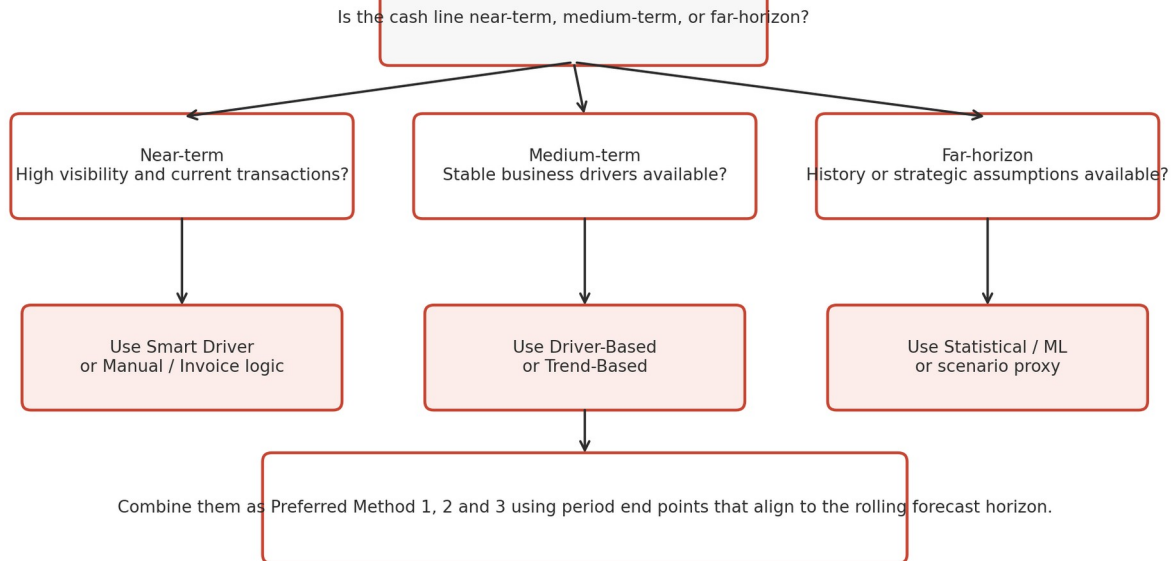


Interpretation

Period-Based Methods are essentially horizon design. The core design question is: what method best reflects business reality in the short horizon, what method best sustains the medium horizon, and what method best supports the far horizon?

5. Decision Tree for Method Selection

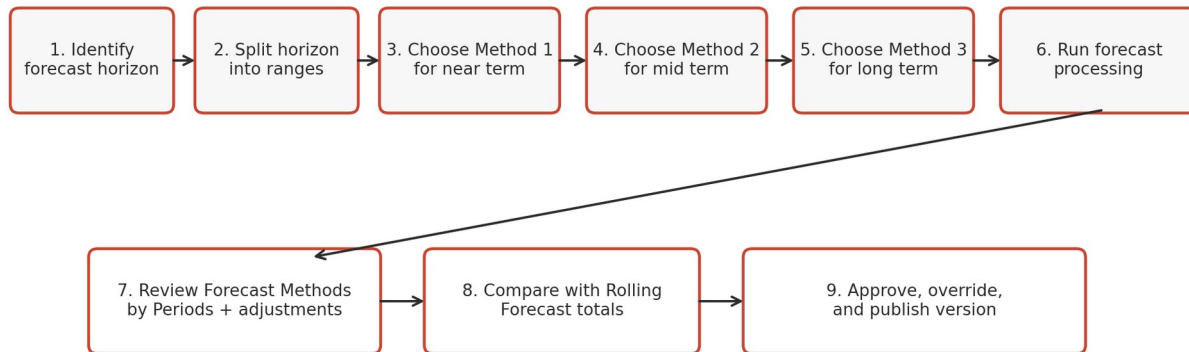
Decision Tree - How to Assign Methods by Period Range



Horizon	Typical characteristics	Likely methods
Short horizon	Detailed visibility, known transactions, high accountability	Smart Drivers, invoice logic, manual input
Medium horizon	Operational assumptions are available, but transaction detail reduces	Driver-based methods, trend-based methods
Far horizon	Patterns and broad assumptions dominate	Statistical, machine learning, high-level scenarios

6. Process Flow - Setting Period-Based Methods

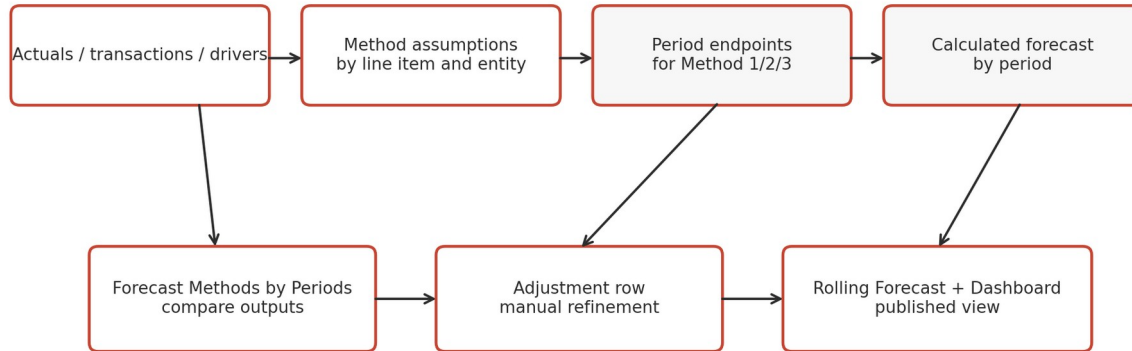
Process Flow - Setting Period-Based Methods



1. Define the rolling forecast horizon and the management-useful breakpoints.
2. Split the horizon into ranges, such as Weeks 1-4, Weeks 5-8, and Weeks 9-13.
3. Assign the preferred forecast method for each range of the line item and entity.
4. Run the Daily/Periodic Process Forecast rule to populate the forecast.
5. Review outputs in Forecast Methods by Periods and compare with Rolling Forecast totals.
6. Use the Adjustments row where business judgment needs to refine the calculated results.
7. Approve and publish the version after exception review and commentary capture.

7. Data Flow and Review Flow

Data Flow and Review Flow



Control point	Why it matters	Owner
Period endpoints	Incorrect endpoints can overlap or leave gaps in coverage.	Administrator
Method compatibility	A method must suit the periodicity and data available.	Solution Architect
Assumption quality	Driver-based methods depend on valid source assumptions.	Cash Manager
Review grid usage	Adjustments should be governed and explainable.	Controller
Rolling Forecast reconciliation	Final totals must reconcile to the published view.	Treasury lead

8. Oracle-Inspired Configuration Mockup

Oracle-Inspired Configuration Mockup

Home > Assumptions > Set Forecast Method > Forecast Method by Period Range

Entity
US01

Line Item
Customer Receipts

Preferred Method 1
Smart Driver

End Period 1
Week 4

Preferred Method 2
DSO Driver

End Period 2
Week 8

Preferred Method 3
Statistical

Default / Override
Allowed

Notes
Near term from invoices; later from pattern

Save

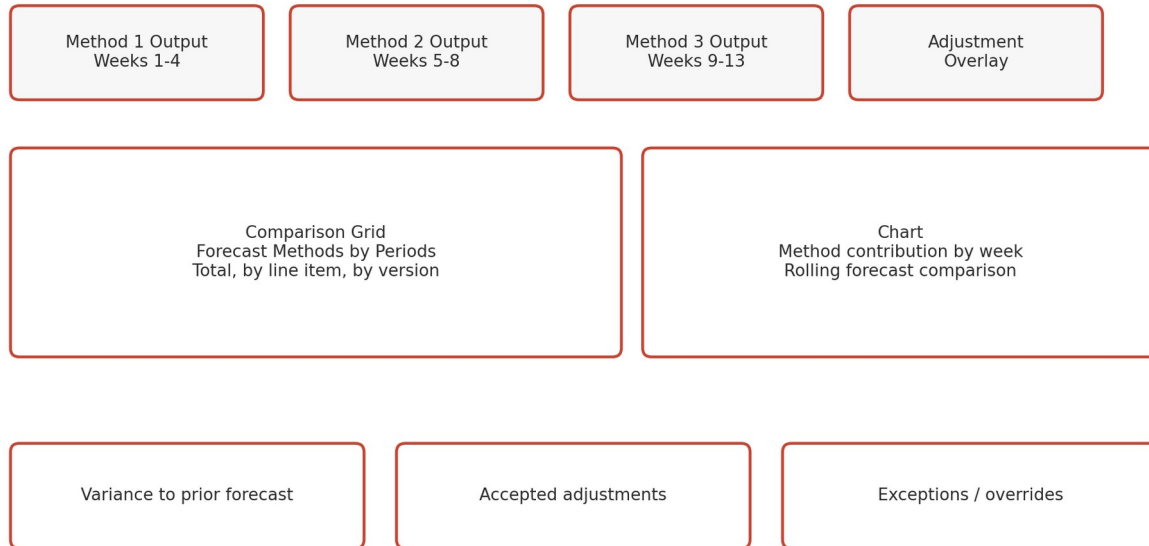
Configuration concept

A common configuration is to define Preferred Method 1, 2 and 3 with end periods, creating a progression from detailed near-term logic to broader far-horizon logic. This is where period-based methods become operational.

- ☐ Confirm whether the forecast is Daily, Weekly or Monthly and choose compatible methods.
- ☐ Choose the line item and entity.
- ☐ Assign Preferred Method 1 and its end period.
- ☐ Assign Preferred Method 2 and its end period.
- ☐ Assign Preferred Method 3 for the remaining horizon.
- ☐ Verify there are no overlaps or uncovered periods.
- ☐ Save and test through forecast processing.

9. Forecast Methods by Periods Dashboard Mockup

Dashboard Mockup - Forecast Methods by Periods



Oracle's review experience includes the ability to inspect values by method and by period. In practical implementation, this becomes the main analytical surface for determining whether the method transitions are producing sensible cash-flow behavior.

10. Method Library for Period-Based Design

Method family	Best fit in period-based design	Examples
Smart Drivers	Short horizon where transactions or payment information are available	Customer Receipts, Supplier Payments
Driver-Based	Medium horizon with operational assumptions	DSO Receipts, DPO Payments, expense pay terms
Trend-Based	Periodic-only lines with visible trend pattern	Labor Payments, Lease Payments, Utilities
Statistical	Far horizon for lines with meaningful history	Recurring fees, bank balances, service inflows
Machine Learning	Advanced predictive use where supported and governed	Customer-payment behavior or more complex pattern inference
Manual	Exception periods or strategic management input	One-off tax settlement, debt drawdown

11. Advanced Lab Scenario

Scenario

A treasury team manages a 13-week rolling cash forecast. For Customer Receipts, they want invoice-level visibility in Weeks 1-4, DSO-based modeling in Weeks 5-8, and Statistical Prediction in Weeks 9-13. For Utilities and Rent, they want Trend-Based across all 13 weeks. For a one-time debt drawdown, they want Manual Input only in Week 6.

Dimension	Value
Entity	US01
Time granularity	Weekly
Rolling horizon	13 weeks
Primary focus line items	Customer Receipts, Utilities, Rent, Debt Drawdown
Users	Administrator, Cash Manager, Controller

12. Lab Source Data Snapshot

Week	Open AR	New Sales	Expected Invoice Receipts	Utilities Expense	Rent Expense	Debt Drawdown
W1	580	155	142	18	25	0
W2	560	160	148	18	25	0
W3	545	162	151	18	25	0
W4	538	166	155	18	25	0
W5	525	170	-	18	25	0
W6	515	173	-	18	25	250
W7	505	175	-	18	25	0
W8	500	178	-	18	25	0
W9	498	181	-	18	25	0
W10	495	184	-	18	25	0
W11	492	188	-	18	25	0
W12	490	190	-	18	25	0
W13	488	193	-	18	25	0

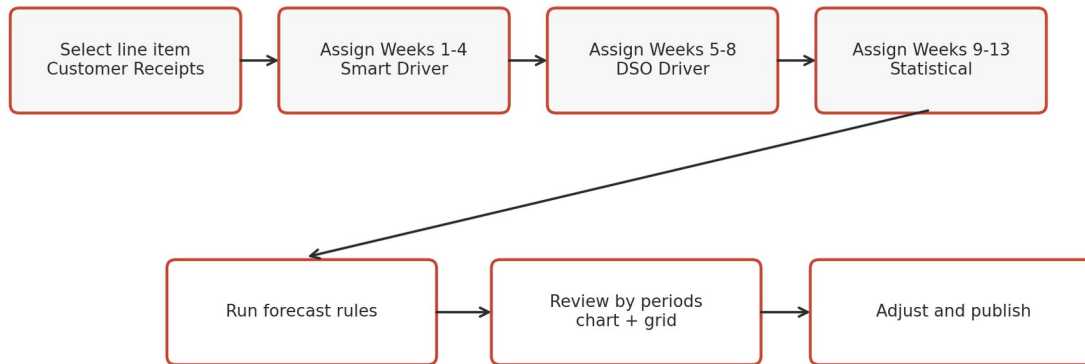
Amounts are simplified and shown in \$000. Invoice-level receipt detail exists only for the near horizon, which is why the method must change as the horizon progresses.

13. Example Period-Based Method Setup

Line Item	Preferred Method 1	End P1	Preferred Method 2	End P2	Preferred Method 3	Reason
Customer Receipts	Smart Driver	W4	DSO Driver	W8	Statistical	Best method changes as visibility declines.
Utilities	Trend	W13	-	-	-	Stable periodic expense pattern.
Rent	Trend	W13	-	-	-	Known recurring amount with minimal volatility.
Debt Drawdown	Manual	W13	-	-	-	One-time event controlled by management.

14. Lab Exercise Flow

Lab Exercise Flow



1. Open the Set Forecast Method form from Assumptions.
2. Select Entity US01 and line item Customer Receipts.
3. Assign Smart Driver to Weeks 1-4.
4. Assign DSO Driver to Weeks 5-8.
5. Assign Statistical Prediction to Weeks 9-13.
6. Save the method setup.
7. Run the forecast-processing rule.
8. Review values in Forecast Methods by Periods and compare against Rolling Forecast totals.

15. Example Output by Method and Period

Week	Method Applied	Calculated Receipts	Comment
W1	Smart Driver	142	Invoice visibility directly drives forecast.
W2	Smart Driver	148	Near-term receipt detail remains strong.
W3	Smart Driver	151	Transaction-based precision.
W4	Smart Driver	155	End of Preferred Method 1 range.
W5	DSO Driver	159	Transitions to average collection logic.
W6	DSO Driver	162	Driven from outstanding revenue + DSO.
W7	DSO Driver	165	Medium-horizon assumption-based result.
W8	DSO Driver	168	End of Preferred Method 2 range.
W9	Statistical	171	Historical pattern now dominates.
W10	Statistical	173	Pattern-based continuation.
W11	Statistical	176	Farther-horizon prediction.
W12	Statistical	179	Forecast smoothing visible.
W13	Statistical	181	End of horizon.

16. Example of Adjustments in Forecast Methods by Periods

Week	Calculated Value	Adjustment	Final Forecast	Rationale
W6	162	+10	172	Collections campaign expected to accelerate receipts.
W9	171	-8	163	Major customer delay identified after model run.
W12	179	+5	184	Management expects quarter-end push.

Oracle review behavior

Oracle allows adjustments directly in the Forecast Methods by Periods grid. Those changes are reflected in the chart and in the Rolling Forecast form, making this step operationally important for governance.

17. Running Process Rules

- Before review, make sure Daily/Periodic Process Actuals has been run where applicable.
- Run Daily/Periodic Process Forecast after changing period-based method assignments.
- For multi-currency implementations, confirm any additional rules are completed.
- Review any warnings related to missing assumptions, unsupported periodicity, or incomplete period coverage.

Rule / activity	Purpose
Process Actuals	Refresh source actuals or basis data in the application.
Process Forecast	Calculate line-item forecasts using assigned methods and periods.
Forecast Methods by Periods review	Inspect which method contributed to which periods.
Rolling Forecast review	Verify final published forecast totals.

18. Product Design Guidelines

Design topic	Recommendation
Range definition	Align period ranges to management review cadence, not just technical convenience.
Method transitions	Avoid excessive switching that makes forecasts hard to explain.
User experience	Show method name, range and adjustment context clearly in review forms.
Governance	Track who changed a method or override by entity and forecast cycle.
What-if analysis	Use alternate versions to compare different range definitions before standardizing.

19. Troubleshooting Handbook

Log / Error Examples

WARN PBM-101 Preferred Method 2 end period overlaps Preferred Method 1 end period.

ERROR PBM-204 Forecast Method is missing for far-horizon periods on selected entity and line item.

WARN PBM-311 Trend method assigned to daily forecast range; verify periodicity compatibility.

INFO PBM-001 Daily/Periodic Process Forecast completed and Rolling Forecast updated successfully.

Symptom	Likely cause	Resolution
Gap in output for later periods	Preferred Method 3 not set or period coverage incomplete	Complete the method sequence and rerun forecast.
Unexpected overlap of values	Period endpoints overlap between method ranges	Correct end periods and validate the setup.
Trend method not behaving in daily range	Trend methods suit periodic forecasts only	Use a compatible method or change granularity.
Forecast differs from expectation after range transition	Method change altered logic as designed	Review the transition point and business rationale.
Rolling Forecast not updated	Process Forecast rule not run after changes	Run the forecast rule and refresh forms.
Too many manual adjustments needed	Base method mix may be poorly chosen	Revisit method assignments or range lengths.

20. Governance, Controls and Roles

Role	Responsibilities
Administrator	Initial configuration of methods, period endpoints, forms and security.
Cash Manager	Entity-level review, selective method changes, adjustments and commentary.
Controller	Approval of overrides, variance review and control sign-off.
Solution Architect	Methodology standards, periodicity compatibility and overall design.
Support team	Issue resolution, rule monitoring and data-quality checks.

- ☐ Document the business reason for each range breakpoint.
- ☐ Restrict who can change method assignments in production.
- ☐ Separate experimental versions from published versions.
- ☐ Review method effectiveness after each close using Forecast Value Add analysis or simple variance review.

21. Technical Reference - Common Patterns

Line Item Pattern	Short horizon	Medium horizon	Far horizon
Customer Receipts	Smart Driver	DSO Driver	Statistical / ML
Supplier Payments	Smart Driver	DPO Driver	Trend or manual scenario
Utilities	Trend	Trend	Trend
Payroll	Manual or driver	Trend	Trend
Project Receipts	Smart Driver or milestone driver	Milestone or DSO driver	Statistical / scenario
Financing Events	Manual	Manual	Manual or strategic scenario

22. Implementation Checklist

- ☐ Confirm daily / weekly / monthly calendar design.
- ☐ Identify which line items need period-based methods.
- ☐ Define standard horizon splits (for example 4/4/5 or 5/4/4 weeks).
- ☐ Select Preferred Method 1, 2 and 3 rules by line item.
- ☐ Validate method compatibility with periodicity and data availability.
- ☐ Build forms or views for Forecast Methods by Periods and Rolling Forecast.
- ☐ Train Cash Managers on adjustments and review discipline.
- ☐ Create exception logs for range gaps, overlaps and unsupported methods.
- ☐ UAT the configuration with realistic forecast cycles and multiple versions.

23. Advanced Student Challenge

Challenge

Design a period-based method strategy for a 26-week forecast where Weeks 1-6 use transaction-rich methods, Weeks 7-14 rely on DSO/DPO and operating assumptions, and Weeks 15-26 require statistical or strategic scenario methods. Explain your design for Customer Receipts, Supplier Payments, Tax Payments, Utilities and Capex.

- State your range definitions and why they are appropriate.
- Assign preferred methods by line item and justify each.
- Describe what review chart or dashboard you would show the Cash Manager.
- List at least three control checks you would enforce in production.

24. Summary

- Period-Based Methods let one line item use different forecasting logic across different time frames.
- This capability is most valuable when short-term visibility differs materially from medium- or far-horizon visibility.
- Oracle supports this through forecast method assignments by period range and review through Forecast Methods by Periods.
- The best implementations combine technical correctness, business explainability and strong governance.
- This document serves as product design documentation, implementation guide, training material, technical reference and troubleshooting handbook.

Completion criteria

An advanced student can configure Preferred Methods by period range, run the forecast rules, interpret method contribution by period, apply controlled adjustments, and explain why a given line item should switch methods as the horizon evolves.